The balance of power on 07.10.2026

EDITION	STATE OF FACTS	FORECASTS FROZEN	NEXT EDITION
02	07.10.2026	09.10.2026 · f09a1d4	from 21.10.2026

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

In two weeks no fact that decides between the scenarios has changed: Hormuz is still closed in shipping data, there is no agreement on Iran or Ukraine, and the US–China truce was extended without settling rare earths. What changed is the weight of the crisis signals: Saudi deaths, a wave of tanker strikes, ships sunk in NATO members' waters, and a US military build-up timed for after the 03.11 midterms. The base case, a protracted crisis without resolution, remains the most likely.

What changed this edition

1 Iran: the war moved to sea

FACT No US strike on Iranian land since 01.09. The US blockade had redirected its 130th vessel by 05.10. On 05.10 the IRGC said ships may use only an IRGC-cleared northern route. At least 10 tankers were struck in and near Hormuz between 01.10 and 06.10, and no attacker has been named.

2 The Saudi–Houthi war is its own front

FACT Houthi strikes killed 3 and injured 36 at Riyadh and Abha airports (06–07.10), and 3 more were killed on 08.10. The Saudi–Pakistani–Turkish "Mecca Alliance" was activated on 05.10. The US stays out "for now".

3 Lethal strikes in NATO waters

FACT Three merchant ships were sunk or set on fire in the Romanian and Bulgarian EEZs on 05–06.10, and 2 crew died. No government has attributed the attacks. Russia warned NATO over Kaliningrad, including a nuclear warning.

4 Diesel is the binding shortage

FACT Brent futures 100.20 USD (07.10), but spot Dated Brent 113.96 (29.09). European diesel hit a record 2.24 EUR/l, prompting a G7 stock release of up to 100 mn bbl (02.10). After the state date, the US licensed imports of Russian diesel (GL 135).

5 US–China: time bought, texts unchanged

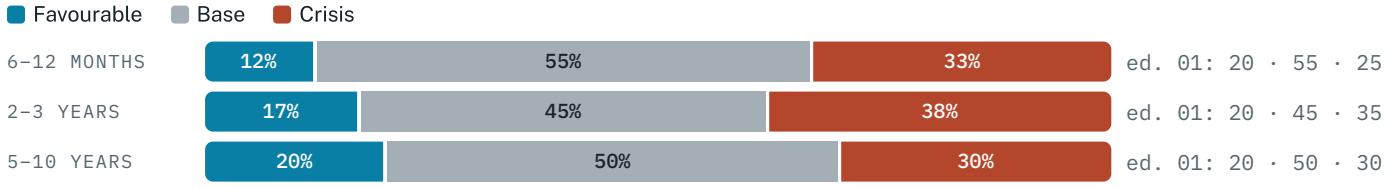
FACT The truce was extended to 10.01.2027, but the legal end date of China's rare-earth suspension is still 10.11.2026. H.R. 5334 obliges the President to act on Russia-linked tariffs by about 18.10, unless he uses the waiver.

6 Russia budgets for a long war

FACT The 2027 draft budget puts defence at 17.15 trn RUB (old plan 13.57). Putin's terms are unchanged (01.10), and Moscow has "no current plans" for the US-proposed three-way talks with Ukraine (07.10).

Scenarios

ASSESSMENT Scenario probabilities are a judgement built on the forecasts and sum to 100% in each horizon. They are not scored. Confidence: **low**.



HORIZON	FAVOURABLE	BASE	CRISIS
6–12 months	Double de-escalation: an Iran deal opens Hormuz and a framework ceasefire is agreed in Ukraine	Protracted crisis without resolution	Coupling of crises: at least two triggers, e.g. strikes on Iran plus an interruption of Gulf exports
2–3 years	Stabilisation with guarantees	Bloc order with expensive energy	Test of NATO and Taiwan
5–10 years	Rebuilding the transatlantic order	Multipolarity with two cores	Great-power conflict

ASSESSMENT Why the crisis case rose by 8 points in the short horizon: Saudi deaths, the wave of tanker strikes, ships sunk in NATO waters, and the US build-up timed for late November. The favourable case fell because the chance of a US–Iran deal fell to **0.16** and of a three-way Ukraine meeting by 30.11 to **0.28**.

Headline forecasts and track record

● Edition 02 official forecast (AGG_RT) ○ Edition 01 value All values come directly from the frozen registry. Bar scale 0–100%; tick at 50%.

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
US strike on Iranian land territory	31.12.2026	0.35	unlikely	▲ +0.09 from 0.26	low	Q-0065
Three US carriers in CENTCOM waters at once	30.11.2026	0.47	even chances	new	low	Q-0099
US–Iran agreement that opens Hormuz	31.12.2026	0.16	very unlikely	▼ −0.14 from 0.30	low	Q-0028
Brent above 120 USD on any day	31.12.2026	0.23	unlikely	▲ +0.04 from 0.19	low	Q-0007
EU gas storage below 55% on 01.01.2027	01.01.2027	0.39	unlikely	▲ +0.04 from 0.35	low	Q-0010
Merchant ship hit in Romanian, Bulgarian or Turkish waters	31.12.2026	0.53	even chances	new	low	Q-0098
US–Ukraine–Russia three-way meeting	30.11.2026	0.28	unlikely	▼ −0.17 from 0.45	low	Q-0026
US–China truce extended beyond 10.01.2027	10.01.2027	0.67	likely	new	medium	Q-0077

Track record

0.117
Brier score of the official forecast (lower is better)

0.302
Brier score of a mechanical "nothing changes" baseline on the same questions

17
scored questions. 27 resolved in total, 10 awaiting verification

First scored edition, so this is indicative only: fewer than 30 questions have resolved. ASSESSMENT The largest errors came from under-forecasting recurring events in short windows (missile launches, Saudi interceptions, PLA sorties). Confidence: low.

READING GUIDE

How to read this brief

Three kinds of statement, always labelled

FACT An event with a date, a publisher and a record ID in the edition's fact files, e.g. G1-007. A government statement is a fact *about a statement*, not about the event.

ASSESSMENT Our inference, always with a confidence level (low / medium / high). Confidence describes the quality of the evidence. It is not a probability.

FORECAST A probability for a question with a fixed deadline and an objective resolution rule. The official value (AGG_RT) is the average of three independent analytic lenses after red-team review. It is frozen in a public, append-only registry before outcomes are known, and scored afterwards.

DISPUTED Two credible interpretations are given, one line each. We do not choose between them without evidence.

AFTER STATE DATE A fact dated after 07.10.2026. It was used by the forecasters, but it is not part of the state picture.

Words and numbers

almost ruled out	1–5%
very unlikely	5–20%
unlikely	20–45%
roughly even chances	45–55%
likely	55–80%
very likely	80–95%
almost certain	95–99%

Source ratings

Ratings such as [B/2] use the Admiralty code: source reliability from A (reliable) to F, and information credibility from 1 (confirmed) to 6. Every key event is checked against a Western source, a source from the actor's side and a third-party source; gaps are recorded in the full report.

Where this comes from

This brief adds no facts, assessments or forecasts of its own. Every number is taken from the edition 02 report (07_report.md) or the registry (registry/forecasts.csv). Record IDs point to the full report, which is the primary document. Nothing here is investment advice.

The Gulf and Iran

STRAIT OF HORMUZ · BLOCKADE · DIPLOMACY

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

The land ceasefire holds, but the sea is not quiet: the US blockades Iranian exports and Iran restricts everyone else's. Washington itself has moved the risk of escalation to the weeks after 03.11. In Tehran the negotiating mandate is contested, which weakens any commitment the foreign ministry can make.

Key facts

since 01.09	FACT	No US strike on Iranian land territory found. G1-010
05.10	FACT	The US blockade of Iranian ports had redirected its 130th vessel. Over 12 weeks 3 vessels were disabled and 13 destroyed. CENTCOM via gCaptain [B/2] G1-007
05.10	FACT	IRGC Navy statement: ships may use only a "northern route" with IRGC clearance, and ships on the southern route will be targeted. Fars via Shahrara News [C/3] G1-004
01–06.10	FACT	At least 10 tankers struck in and near Hormuz. UKMTO and JMIC name no attacker. gCaptain, Ship & Bunker [B/2] G1-002
27–28.09	FACT	A third US carrier group and an amphibious group ordered to the region; three carriers and two amphibious groups planned by the end of November. Al Jazeera, WSJ, AP [B/2] G1-009
IX	FACT	Iran loaded no crude in September. The rial is near 2.7 mn per USD and annual inflation is 73.6%. G2-012 · G3-056
06.10	FACT	Diplomacy is limited to indirect messages through Qatar. An impeachment motion against FM Araghchi was registered on 06.10. G4-001 · G4-006 · G4-009
08.10	AFTER STATE DATE FACT	Trump said the US would not strike Iran before the 03.11 midterms. This is a fact about a statement. Gulf News [B/3] A-03

DISPUTED **How much oil really moves through Hormuz?**

1. Ship-tracking (AIS) data show almost nothing: 0–5 transits a day between 23.09 and 04.10 (IMF PortWatch [A/2]).
2. Bank estimates put Gulf crude exports at 75–98% of pre-war levels, largely moving with trackers switched off [B/3].

Both can be true only if a large untracked flow exists, and no dataset measures it. Confidence: low.

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
US strike on Iranian land territory	31.12.2026	0.35	unlikely	▲ +0.09 from 0.26	low	Q-0065
Three US carriers in CENTCOM waters at once	30.11.2026	0.47	even chances	new	low	Q-0099
US and Iranian officials meet in person (08–21.10)	21.10.2026	0.10	very unlikely	new	medium	Q-0081
US–Iran agreement that opens Hormuz	31.12.2026	0.16	very unlikely	▼ −0.14 from 0.30	low	Q-0028
US officially lifts or suspends the blockade	31.12.2026	0.14	very unlikely	▼ −0.14 from 0.28	low	Q-0038
Hormuz traffic recovers to a 7-day mean above 40 transits a day	31.12.2026	0.10	very unlikely	▼ −0.14 from 0.24	low	Q-0036
Araghchi ceases to be foreign minister	31.12.2026	0.15	very unlikely	new	low	Q-0096

WHAT WOULD CHANGE OUR VIEW

- Three US carriers in CENTCOM waters at once; a CENTCOM strike statement
- A face-to-face US–Iran round confirmed by both sides
- The IRGC route rule lifted, or the blockade officially lifted
- PortWatch 7-day mean above 40 transits a day

DATES

- **03.11**: US midterms. After this date Washington itself places its strike options on Iran
- **end-XI**: three carriers planned around Iran

Red Sea, Yemen and Saudi Arabia

BAB EL-MANDEB · GULF BYPASS ROUTES · HORN OF AFRICA

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

The Saudi–Houthi war is now a separate front with its own allies, not just part of the US–Iran file. With Washington staying out, Gulf security is turning regional. The risk that matters for energy is the Saudi bypass route (Yanbu and the East–West pipeline), which is within range of a Houthi campaign that has already hit Saudi airports.

Key facts

06–07.10	FACT Houthi strikes killed 3 people and injured 36 at Riyadh and Abha airports. These are the first Saudi deaths on Saudi soil in this escalation recorded by the project. GACA via Reuters, Al Jazeera [B/2] G1-018
08.10	AFTER STATE DATE FACT A missile on King Khalid airport killed a Saudia pilot and two other Saudi citizens. GACA via Al Jazeera [B/2] R-01
05.10	FACT The Saudi–Pakistani–Turkish "Mecca Alliance" was activated, with a rapid deployment of Pakistani and Turkish forces. Qatar backs it but has not joined. Al Jazeera, Euronews [B/2] G1-020 · G4-006
04–05.10	FACT The US stays out "for now". Axios; Rubio G1-021
23.09–04.10	FACT Bab el-Mandeb traffic did not fall: 22–37 transits a day. An attempted attack on a tanker south of Mokha on 04.10 was the first Red Sea shipping incident since 24.08. IMF PortWatch [A/2]; UKMTO [B/2] G1-012 · G1-022
22.09	FACT The East–West pipeline restarted, with full pumping expected 6–8 weeks after the restart. No official flow figure. Reuters sources [B/2] G2-050
23.09–07.10	FACT Horn of Africa: the Tigray war resumed on 23.09, and Eritrea and Ethiopia severed ties on 01.10. Reuters via Al Jazeera, AP [B/2] G4-062 · G4-063

DISPUTED **Who controls Dhubab and Mocha?** Yemeni government forces opened an offensive on 04.10.

1. Largely taken by government forces (Reuters sources, 05.10).
2. Retaken by the Houthis (AP, 07.10).

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
Saudi authorities report a death from an attack from Yemen (08–21.10)	21.10.2026	0.79	likely	new	low	Q-0080
Ship struck in the Red Sea, Bab el-Mandeb or Gulf of Aden (08–21.10)	21.10.2026	0.23	unlikely	new	low	Q-0092
Bab el-Mandeb falls below 20 transits on any day (08–17.10)	17.10.2026	0.28	unlikely	new	low	Q-0079
US strike on Houthi targets in Yemen	31.12.2026	0.23	unlikely	= 0.23	low	Q-0068

Note on Q-0080: the red team found that the GACA statement of 09.10 appears to meet the resolution criterion. The cap on red-team adjustments, not the evidence, set the official value. The question resolves in edition 03.

WHAT WOULD CHANGE OUR VIEW

- The East–West pipeline shut down again; strikes on Yanbu, Abqaiq or Ras Tanura
- Saudi deaths in successive weeks
- A US decision to strike the Houthis

DATES

- **21.10**: Q-0080 and Q-0092 windows close
- **XI**: full East–West pipeline pumping expected (6–8 weeks after 22.09)

Russia, Ukraine and NATO's eastern flank

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

Moscow is budgeting for the cost of the war rather than reacting to it: defence spending is up by about a quarter, the three-way format with the US and Ukraine is blocked, and a bilateral channel with Washington that includes economic offers stays open. Pressure on NATO has moved from Polish airspace to the Black Sea and to nuclear rhetoric, both below the Article 4 threshold.

Key facts

01–07.10	FACT Putin at Valdai (01.10): talks only if Ukraine leaves the rest of Donbas and accepts neutral status. Deputy FM Ryabkov (07.10): "no current plans" for the US-proposed three-way format; bilateral contacts with the US continue. kremlin.ru [A/1]; Interfax [B/1] G4-019 · G4-022
30.09	FACT Russia's 2027 draft budget: defence 17.15 trn RUB (old plan 13.57 trn). The 2026 deficit estimate is 3.2% of GDP, against 1.6% in the budget law. Fontanka, Kommersant [B/2] G3-016
07.10	FACT One of the largest combined Russian strikes on Ukraine killed at least 24 people. Kyiv Post, NBC, Anadolu [B/2] G1-047
05–06.10	FACT Three merchant ships were sunk or set on fire in the Romanian and Bulgarian EEZs and 2 crew died. No government has attributed the attacks. Sofia Globe, Al Jazeera, Anadolu [B/2] G1-031 · G1-032
01.10	FACT Russia sent NATO a note on Kaliningrad, and Putin warned of nuclear use if the exclave were cut off. The Moscow Times citing Reuters [B/2] G1-029
23.09	FACT A Russian Mi-8 helicopter was in Polish airspace for 42 s. No further violation from Russia or Belarus was found up to 07.10, and no Article 4 request has been made in 2026. Polish Operational Command [A/2] G1-024 · G1-025 · G1-036
07.10	FACT EU ambassadors agreed the largest single expansion of the Russia sanctions list: 1,646 names. Euronews, Ukrinform [B/2] G3-022
09.10	AFTER STATE DATE FACT A Putin–Trump call took place, after which OFAC issued General License 135 allowing imports of Russian-origin diesel until 07.04.2027. OFAC; NBC [A/2] C-01 · R-02

DISPUTED **Who gained ground in September?**

1. DeepState: a Russian net gain of 154 km².
2. ISW (via secondary reports): a Ukrainian net gain. The gap is mainly in when each side publishes Ukrainian gains.

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
Ship hit in Romanian, Bulgarian or Turkish waters	31.12.2026	0.53	even chances	new	low	Q-0098
Confirmed violation of Polish airspace	31.12.2026	0.52	even chances	new	low	Q-0097
Baltic cable or pipeline sabotage case	31.03.2027	0.67	likely	= 0.67	low	Q-0040
A NATO state requests Article 4 talks	31.12.2026	0.11	very unlikely	= 0.11	medium	Q-0027
Death on NATO soil from a Russian strike	31.12.2026	0.06	very unlikely	= 0.06	medium	Q-0002
Russian mobilisation decree	31.12.2026	0.03	almost ruled out	= 0.03	medium	Q-0001
US–Ukraine–Russia three-way meeting	30.11.2026	0.28	unlikely	▼ −0.17 from 0.45	low	Q-0026
US cuts troops in Europe by ≥ 10,000	31.03.2027	0.30	unlikely	▼ −0.10 from 0.40	low	Q-0003

WHAT WOULD CHANGE OUR VIEW

- A NATO government attributes an EEZ strike to Russia: attribution, not casualties, is now the operative threshold
- A three-way US–Ukraine–Russia meeting with a date; a Turkish- or UN-hosted Black Sea arrangement
- The US posture review ends with a cut in Europe

DATES

- **12.10**: EU ministers adopt the 1,646 listings
- **~18.10**: H.R. 5334 deadline
- **23.10**: Bank of Russia meeting
- **XII**: US posture review ends

USA–China and the Indo-Pacific

TRADE TRUCE · TECHNOLOGY · RAW MATERIALS · TAIWAN

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

China turned the summit into a time extension that keeps its rare-earth lever legally intact. It is separating its fronts: stability with Washington, friction with Brussels and Manila. Both capitals keep their levers ready; the near-term tests are a US sanctions deadline in October and legal expiry dates in November.

Key facts

23–28.09	FACT The US Treasury Secretary (Bessent) and China's commerce ministry (MOFCOM) announced an extension of the Kuala Lumpur arrangement to 10.01.2027. NBC; Xinhua [A/1] G3-007 · G3-010
07.10	FACT The MOFCOM text does not name rare earths. The legal end date of the rare-earth suspension is still 10.11.2026, and no US Federal Register notice formalising the extension had been found. [B/2] G2-041 · G3-011
18.09	FACT H.R. 5334, as passed by Congress, says the President "shall" raise duties within 30 days, up to 500% on Russia and 100% on qualifying buyers, with a waiver. congress.gov [A/1] G3-001
19.09	FACT Beijing's latest statement on H.R. 5334: China "reserves the right to take all necessary measures". MOFCOM via Xinhua [A/1] G3-059
01.10	FACT PLA activity peaked at 23 sorties in one Taiwan defence ministry report, with no named exercise. The first F-16V Block 70 was delivered to Taiwan on 02.10. Taiwan MND [A/2]; Breaking Defense [B/2] G1-053 · G1-054
05.10	FACT No US aircraft carriers on mission in the Western Pacific. USNI via search summary [B/3] G1-057
03.10	FACT North Korea launched an IRBM-class missile. Pyongyang says it will set its maritime boundary "by the use of force". [A/2]; [B/2] G1-058 · G1-059
03–05.10	FACT Beijing hardened toward the EU: an anti-dumping probe, and a refusal of voluntary curbs on hybrid-car exports. Merz and Macron proposed an EU rapid-response trade instrument. [B/2] G3-051 · G3-052 · G2-043

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
US extends or rescinds the export-control "affiliates rule" (BIS)	09.11.2026	0.75	likely	new	medium	Q-0102
China extends or repeals the rare-earth control suspension	10.11.2026	0.74	likely	▲ +0.06 from 0.68	medium	Q-0021
US–China truce extended beyond 10.01.2027	10.01.2027	0.67	likely	new	medium	Q-0077
H.R. 5334 tariff on a country other than Russia	31.12.2026	0.13	very unlikely	▼ −0.06 from 0.19	medium	Q-0012
Nvidia Blackwell exports to China permitted	31.12.2026	0.13	very unlikely	▼ −0.04 from 0.17	low	Q-0024
Trump attends APEC Shenzhen in person	19.11.2026	0.64	likely	▲ +0.11 from 0.53	medium	Q-0029
Named PLA exercises around Taiwan	31.03.2027	0.31	unlikely	▼ −0.02 from 0.33	low	Q-0005
At least 30 PLA aircraft in one Taiwan report (08–21.10)	21.10.2026	0.28	unlikely	new	low	Q-0087

WHAT WOULD CHANGE OUR VIEW

- H.R. 5334 duties on China, or a mainland Chinese bank put on the US sanctions (SDN) list: the truce would be breaking down
- No US Federal Register notices by 09–10.11; no MOFCOM rare-earth text by 10.11
- Named PLA exercises; Trump–Xi visits cancelled

DATES

- **~18.10**: H.R. 5334 deadline
- **09–10.11**: US suspensions of the affiliates rule and maritime fees expire
- **10.11**: legal end of the rare-earth suspension
- **18–19.11**: APEC Shenzhen
- **10.01.2027**: truce ends

Europe, energy and global markets

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

The energy shock has changed shape. Crude futures are near 100 USD while the physical market is much tighter. Governments have shifted from relying on markets to releasing stockpiles and cutting taxes, which moves the cost onto budgets. Central banks are tightening while growth weakens, a stagflation set-up, and long-term yields at 24-year highs are themselves now tightening conditions.

Key facts

07.10	FACT December Brent settled at 100.20 USD/bbl. Dated Brent spot was 113.96 on 29.09, so physical barrels cost more than futures. Bloomberg via Rigzone [B/2]; EIA via FRED [A/1] G2-002 · G2-003
01–07.10	FACT After a record European diesel price of 2.24 EUR/l, the US threatened a diesel export ban (01.10) and the G7 released up to 100 mn bbl, diesel first (02.10). The IEA backed faster releases on 07.10. [B/2] G2-008 – G2-011
05.10	FACT EU gas storage was 72.83%, the lowest for the date since 2011 (Germany about 59%). TTF gas closed at 78.53 EUR/MWh on 07.10. GIE data via GEF; Investing.com [C/2] G2-014 · G2-016 · G2-017
28.09	FACT Qatar extended LNG force majeure by about a month. September LNG transits through Hormuz were about 75% below pre-war. Bloomberg [B/3]; S&P, Kpler [B/2] G2-021 · G2-022
07.10	FACT The US 10-year Treasury yield reached 5.356% intraday, the highest since IV 2002. Fed minutes: “most participants” saw another hike as likely appropriate by year-end. CNBC; federalreserve.gov [A/1] G3-035 · G3-033
IX	FACT Euro-area inflation was 3.8% (flash) and the ECB deposit rate is 2.50%. US payrolls rose by just 29k in September. Eurostat; BLS [A/1] G3-037 · G3-034
07.10	FACT Hungary lifted its veto on opening negotiating clusters 2 and 3 with Ukraine. Euronews [B/2] G4-028

DISPUTED **Are the 07.10 listings “the 22nd sanctions package”?**

1. Yes, according to Russian state media.
2. No: they are a separate listing track, with the sectoral package expected in November (Euronews; Ukraine’s sanctions envoy).

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
Brent above 100 USD on 20.10	20.10.2026	0.63	likely	new	low	Q-0074
Brent above 120 USD on any day	31.12.2026	0.23	unlikely	▲ +0.04 from 0.19	low	Q-0007
TTF gas above 90 EUR/MWh on any day	31.12.2026	0.37	unlikely	▲ +0.07 from 0.30	low	Q-0009
EU gas storage at least 80% on 01.11	01.11.2026	0.07	very unlikely	▼ −0.28 from 0.35	high	Q-0067
EU gas storage below 55% on 01.01.2027	01.01.2027	0.39	unlikely	▲ +0.04 from 0.35	low	Q-0010
Fed rate hike on 28.10	28.10.2026	0.18	very unlikely	▼ −0.15 from 0.33	medium	Q-0066
ECB rate hike	31.12.2026	0.49	even chances	▲ +0.06 from 0.43	low	Q-0017
EU adopts at least 1,500 new Russia listings	21.10.2026	0.90	very likely	new	high	Q-0083
EU formally opens cluster 2 or 3 with Ukraine	31.12.2026	0.48	even chances	new	low	Q-0101

WHAT WOULD CHANGE OUR VIEW

- EU storage below 78% on 01.11; TTF above 90 EUR/MWh
- Brent below 80 USD, which would signal markets pricing a Gulf settlement
- A US ban on distillate exports

DATES

- **15–16.10**: European Council
- **28.10**: FOMC · **29.10**: ECB
- **01.11**: OPEC+; EU storage reference date
- **01.01.2027**: EU ban on long-term Russian LNG contracts

Shifting alignments: elections and orientation

AMERICAS · ISRAEL · IRAQ · EUROPE'S BALLOTS

BOTTOM LINE · ASSESSMENT · CONFIDENCE: MEDIUM

Brazil's runoff on 25.10 decides the largest potential realignment of the quarter: a BRICS founding member could move closer to Washington. In the Middle East, the US exit from Iraq and its abstention in Yemen push regional states toward their own guarantees. Israel, as an independent actor able to break the US–Iran track, is the largest unanalysed variable.

Key facts

04.10	FACT Brazil's first round: Flávio Bolsonaro 47.03%, Lula 45.16% of valid votes. TSE count via CartaCapital [A/1] G4-029
after 07.10	AFTER STATE DATE FACT The first runoff Datafolha poll: Bolsonaro 52%, Lula 48% of valid votes. The polls had the order wrong in round one. [B/2] A-01 · G4-032
30.09–05.10	FACT Trump's approval was 32%, equal to his record low. The midterms are on 03.11. Reuters/Ipsos via The Hill [B/2] G4-045
30.09	FACT The US mission in Iraq (Operation Inherent Resolve) ended. On 07.10 Iraq devalued the dinar by about 13%. Atlantic Council, The National; Reuters via Al-Monitor [B/2] G1-011 · G3-055
02–07.10	FACT Near-daily Israeli strikes in southern Lebanon, and strikes in Gaza on 07.10. Israel votes on 27.10. [B/2]–[C/3] G1-062 · G4-085
23.09	FACT Venezuela: the acting president promised elections at the UN, without a date. G4-065
06.10	FACT Mali: the army and Russia's Africa Corps re-entered Kidal without a fight. [B/1] G4-060

Key forecasts

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
Lula wins Brazil's presidency	31.10.2026	0.29	unlikely	▼ −0.27 from 0.56	medium	Q-0033
Likud the largest list in Israel's election	06.11.2026	0.47	even chances	new	low	Q-0094
Republicans win at least 218 House seats	31.12.2026	0.11	very unlikely	= 0.11	medium	Q-0031
Republicans hold at least 50 Senate seats	31.12.2026	0.43	unlikely	new	low	Q-0095
Iotova wins Bulgaria's presidency in round one	31.10.2026	0.27	unlikely	new	low	Q-0093
Venezuela sets a presidential election date	31.03.2027	0.32	unlikely	▼ −0.01 from 0.33	low	Q-0034
US–Denmark–Greenland defence agreement in force	30.06.2027	0.45	even chances	new	low	Q-0111

WHAT WOULD CHANGE OUR VIEW

- An Israeli strike on Iran outside the US track (not yet covered by any indicator)
- A Brazilian result that moves the country's BRICS stance

DATES

- **25.10**: Brazil runoff; Bulgaria's first round
- **27.10**: Knesset election
- **03.11**: US midterms
- **29.11**: Spain's snap election

CROSS-CUTTING VIEW

Who holds the advantage, by domain

ASSESSMENT Confidence: medium unless marked. Taken from section G of the full report.

DOMAIN	HAS THE ADVANTAGE	GAINING	LOSING	UNRESOLVED
Military	USA globally (a third carrier group heading to the Gulf)	Ukraine locally (Lyman; refinery campaign); the Saudi-led coalition at the strait (disputed)	USA in the Western Pacific (0 carriers); Iraq (US exit)	Attribution of the Black Sea strikes; the shore at Bab el-Mandeb
Political	USA (sets the agenda on Iran, Ukraine and China)	Qatar (the only active US–Iran channel); Pakistan and Turkey (Mecca Alliance); Russia in Mali	Iran's foreign ministry (mandate contested)	Brazil runoff 25.10; Israel 27.10 (confidence: low)
Economic	USA and China (truce extended)	Energy exporters with open routes (Saudi Arabia via Yanbu; Russia via higher Urals prices)	Energy importers (EU diesel; Iraqi and Iranian currencies)	H.R. 5334 by 18.10
Technological	USA (chips; enforcement)	China (rare-earth legal end date intact)	—	Affiliates rule after 09.11
Energy	USA (strategic reserve, LNG); Norway	Saudi Arabia (bypass); Russia (price; diesel channel to the US after 09.10)	Iran (exports at zero); Qatar (force majeure extended)	Real Hormuz flow (confidence: low)
Financial	USA (dollar, sanctions, rates)	—	High-deficit states (Poland, Ukraine: cost of debt); Iraq (devaluation); Iran (rial)	Russia's 2026 deficit (3.2% vs 4%)
Infrastructure	China (processing)	Egypt (Suez traffic)	Black Sea shipping (strikes in NATO EEZs)	Yanbu within Houthi range

How the regions connect

ASSESSMENT One chain from the report's mechanism paragraphs (sections B–D). Every step is a dated fact in the report; the link between steps is the report's reading.

1 **Red Sea.** Houthi strikes on Saudi airports, 06–08.10. G1-018 · R-01

2 **Saudi bypass.** The Yanbu route and the East–West pipeline, restarted 22.09, lie within Houthi range. G2-050

3 **Oil.** Physical barrels tighter than futures: Dated Brent 113.96 (29.09) vs December Brent 100.20 USD/bbl (07.10). G2-002 · G2-003

4 **Europe.** Record European diesel price, 2.24 EUR/l. G2-011

5 **Policy.** G7 release of up to 100 mn bbl, diesel first, 02.10. G2-009

Questions that would register the chain: Brent above 120 USD on any day by 31.12, **0.23**; a US strike on the Houthis by 31.12, **0.23**.

Country lens: Poland

The project's founding focus. Section K of the full report is written for Polish readers; the points below are those most relevant internationally.

05.10 FACT Poland's deputy defence minister: the planned US base would be in western Poland with about 5,000 soldiers, and no decision before December. Hegseth hinted at shifting forces from Europe to the Western Hemisphere. TVN24, Defence24; Washington Times [B/2–B/3] G1-037 · G1-038

03.10 FACT A fuel package (VAT 8%, minimum excise, daily maximum prices) cut average diesel from a record 9.14 to 7.78 PLN/l. The European Commission says the VAT cut breaches the VAT Directive. G2-026 · G2-027 · G2-028

07.10 FACT Gas storage 99.2% full; CPI 4.0% (IX); policy rate 3.75%; EUR/PLN 4.3797; deficit about 7% of GDP. G2-017 · G3-039 · G3-040 · G3-045 · G3-047

QUESTION	BY	P	IN WORDS	VS ED. 01	CONF.	ID
Official location of a permanent US Army base in Poland	31.03.2027	0.30	unlikely	new	low	Q-0114
S&P downgrade or negative outlook for Poland	06.11.2026	0.33	unlikely	new	low	Q-0105
Commission letter of formal notice over fuel VAT	31.12.2026	0.21	unlikely	new	low	Q-0107

Dates that could reset the picture

NEXT QUARTER

OCTOBER 2026

12.10	EU foreign ministers adopt the 1,646 Russia listings
15–16.10	European Council: Ukraine, the Middle East, the Merz–Macron trade instrument
~18.10	H.R. 5334 deadline: duties on Russia and on buyers of Russian energy, or a waiver
20–21.10	Edition 03; China's September customs data (rare-earth magnets)
23.10	Bank of Russia, described by the bank as a "key" meeting
25.10	Brazil runoff; Bulgaria's presidential first round
26–29.10	Fifth Plenum of the CPC Central Committee
27.10	Israel's Knesset election
28–29.10	FOMC; ECB

NOVEMBER 2026

01.11	OPEC+ (December output); EU gas storage reference date
03.11	US midterms: the date after which Washington places its Iran strike options
09–10.11	US suspensions of the affiliates rule and s.301 maritime fees expire
10.11	Legal end of China's rare-earth control suspension
18–19.11	APEC Shenzhen (Trump, Putin and Xi possibly present)
27.11	China's gallium, germanium and antimony suspension ends
29.11	Spain's snap election; OPEC+ ministerial meeting
end-XI	Three US carriers and two amphibious groups planned around Iran

DECEMBER 2026 – JANUARY 2027

XII	The US Europe posture review ends; a decision on the base in Poland
11.12	US government funding ends (not re-verified)
17–18.12	European Council
01.01.2027	EU ban on long-term Russian LNG contracts; US defence-procurement (DFARS) ban on Chinese tungsten and magnets
10.01.2027	The extended US–China truce ends

What could prove us wrong

ASSESSMENT These are the most fragile assumptions behind the base case.

1. **No US strikes on Iran before 03.11.** This now rests on Trump's own statement of 08.10, which moves the risk to the weeks after the election, when the third carrier group arrives. About ten forecasts depend on this one assumption, so they are a single correlated bet.
2. **Tehran's split blocks a deal, but neither faction seeks full war.** Weaker than before: the army threatens "pre-emptive operations" and tanker strikes are frequent.
3. **Israel does not break the US–Iran track with its own strike.** Still not analysed; the 27.10 election adds a variable.
4. **The Houthis do not interrupt Saudi exports via Yanbu or the East–West pipeline.** Kept, but under more pressure.
5. **Russia does not cross the threshold of a NATO-attributed incident with casualties.** Formally kept but eroding: two people died on a ship in the Romanian EEZ, which is not NATO territory.
6. **Europe gets through the winter without a physical gas shortage.** Strong for Poland (99%), fragile for Germany (about 59%).

Method, gaps and provenance

How the forecasts are made

Each two-weekly edition runs nine stages. Facts are collected with a three-perspective rule (a Western source, a source from the actor's side, and a third-party source). Three forecasting lenses then work blind to each other: *great-power game*, *outside view*, and *domestic and economic constraints*. A red team reviews them, and the aggregated forecasts are frozen in an append-only registry before any comparison with markets or crowds. Questions are scored with the Brier score against simple baselines.

Accuracy so far

Of 27 resolved questions, 17 have been scored; 10 await verification. The official forecast scored a Brier of 0.117, against 0.302 for the status-quo baseline (skill score 0.613). By vector, the weakest is military (0.216, n = 5). With n = 17, these are early, indicative numbers.

What we do not know

- The real oil flow through Hormuz: no dataset measures traffic with trackers switched off.
- Who in Tehran holds the negotiating mandate.
- Whether the White House sent Congress the H.R. 5334 notice or waiver. This is not publicly observable.
- The size and timing of the US posture change in Europe; the base figures rest on one Polish official.
- Israel as an independent actor: no indicator covers an Israeli strike on Iran.
- Some primary data were read only through aggregators (EU gas storage, ICE settlements).

Provenance. Derived from `editions/2026-10-07_edition-02/07_report.md` (sha256 `bd0a01ceb1af15e5`) and `registry/forecasts.csv` (sha256 `cc836ab69eeeb5f8`). Forecasts frozen in commit f09a1d4 (09.10.2026); methodology v1.0; edition produced with framework 1.4.0, brief built with framework 1.6.0 on 19.10.2026. Forecast values, deadlines and changes were injected from the registry by `tools/brief.py`, not typed, and checked against the report.

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